

All the primary and secondary activities need to be mapped together, for each company. This allows the analyst to compare the activities performed and thus understand the differences that lead to differentiation and cost advantages. The industry value chain can also be created by combining different firm-specific activities.

The value chain does not directly help understand the quality of the industry but it helps understand how the industry operates. This will be useful in the analysis of the industry and the companies operating in it. It will help us identify the key indicators for growth.

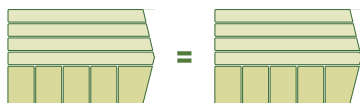
Value chain analysis is a popular model for analysis at the company level as well as industry level.

Firstly, whichever industry is selected, an industry value chain must be created. This can be done using a simple industry value chain framework or the primary activities of Porter's value chain model.

Then one must identify the activities that are critical to success in the industry.

Once this is done, a value chain must be designed for individual companies in the industry.

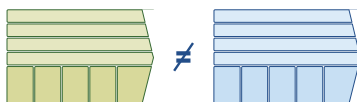
Then analysts must compare and contrast the individual value chains with each other and with that of the industry.



Company Value Chain

Industry Value Chain

They will seldom have exceptional returns. They will make average returns in the industry.



Company Value Chain

Industry Value Chain

They have room for relative cost or differentiation advantage. Companies are competitively advantaged or disadvantaged. They will clock above-average or below-average returns.